

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-03

ONE BANANA NORTH AMERICA CORP.,
COMPLAINANT

v.

HAPAG-LLOYD AG, and
HAPAG-LLOYD (AMERICA) LLC,
RESPONDENTS.

**ANSWER OF RESPONDENTS
HAPAG-LLOYD AG AND HAPAG-LLOYD (AMERICA), LLC**

Respondents Hapag-Lloyd AG (“HLAG”) and Hapag-Lloyd (America), LLC (“HLA”) (together, “Respondents”) hereby answer the Amended Verified Complaint (“Complaint”) in this proceeding as follows:

I. COMPLAINANT

Complainant One Banana is a corporation organized under the laws of the State of Florida with a principal place of business at 333 SE 2nd Avenue Suite 2000 Miami, FL 33131, with an email address at info@onebananas.com.

Respondents lack a sufficient basis to admit or deny.

1. One Banana ships fresh bananas from Central and South America to the United States, where it sells them to various wholesalers and retailers. For purposes of its service contracts with Respondent, One Banana was a "shipper" as defined in 46 U.S.C. § 40102(23).

Respondents deny the first sentence. The second sentence contains a conclusion of law which requires no response.

3. The names and addresses of the attorneys representing Complainant are: (1) Tiffany N. Compres, FisherBroyles LLP, 1221 Brickell Avenue, Suite 900, Miami Florida, tiffany.compres@fisherbroyles.com, and (2) Gene M. Burd, FisherBroyles LLP, 1200 G Street NW, Suite 800, Washington, D.C. 20005, gene.burd@fisherbroyles.com.

Paragraph 3 contains no allegations of fact with respect to Respondents and thus requires no response.

II. RESPONDENT

4. Upon information and belief, Respondent Hapag-Lloyd AG is a company existing under the laws of the Republic of Germany with its principal place of business at Ballindamm 25, D-20095 Hamburg, Germany, acting in the United States through its agent, Hapag Lloyd (America) LLC, an entity organized under the laws of the State of Delaware, with a principal place of business at 399 Hoes Lane Piscataway, NJ 08854.

Admitted.

5. Hapag Lloyd is and was at all times pertinent to this Complaint a "common carrier" within the meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission ("FMC"). The email address currently known for Respondent is Tony.DeCiccio@hlag.com.

HLAG admits that it is a common carrier within the meaning of the Shipping Act. Respondents admit that Tony DeCiccio is an employee of HLA, but deny that the address is a valid address for HLAG.

III. JURISDICTION

6. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act of 1984.

Denied.

7. This Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301. One Banana is seeking reparations for injuries caused to it by Respondents due to their violations of 46 U.S.C. § 41102(c).

Paragraph 7 contains no factual allegations with respect to Respondents and thus requires no response.

8. The FMC has personal jurisdiction over Hapag Lloyd as a "common carrier" as defined in 46 U.S.C. § 40102(7).

HLAG admits that the FMC has personal jurisdiction over it. HLA denies that the FMC has personal jurisdiction over it.

9. Respondent's actions alleged herein constitute (1) failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of One Banana, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§545.4 and 545.5 (2) unreasonable refusal to deal or negotiate with One Banana, in violation of 46 U.S.C. Section 41104(a)(10).

Denied.

IV. FACTUAL ALLEGATIONS

10. One Banana is part of the AgroFruit Group of Companies ("AgroFruit"), along with its sister entities One Banana, Inc. and Bananera Nacional S.A. AgroFruit is a vertically integrated group of companies with over 13,000 employees. It is one of the largest producers of

tropical fruits in Central America, with customers including large U.S. based grocery chains and wholesalers.

Respondents lack a sufficient basis to admit or deny.

11. On or about January 1, 2021, AgroFruit, through its subsidiary Bananera Nacional S.A., entered into a Service Contract No. S20LCA034¹ (as amended, the "Service Contract") with Hapag Lloyd AG for the carriage of fresh bananas from ports in Guatemala and Ecuador to various ports in the United States, including Long Beach and Los Angeles, California and Seattle, Washington, for the year 2021.

Respondents admit that HLAG entered into a service contract with Bananera Nacional S.A. on or about January 1, 2021, but deny that AgroFruit was party to the service contract. Respondents admit that the Service Contract was assigned No. S20LCA034. The terms of the service contract speak for themselves.

12. On or about March 5, 2021, the parties amended Service Contract No. S20LCA034 to include an Oakland, California port of destination. The Service Contract remained effective for the entire year 2021.

Admitted.

13. Each shipment under the Service Contract was documented by a Sea Waybill containing Respondent's Terms and Conditions. The relevant Sea Waybills designate One Banana as consignee. One Banana is also a beneficial cargo owner. Accordingly, One Banana is a shipper within the meaning of 46 U.S.C. § 40102(23).

Respondents admit that each shipment under the Service Contract was documented by a HLAG Sea Waybill, and admit that One Banana was designated as a consignee on said Sea Waybills (except one). Respondents lack sufficient information to admit or deny the third sentence. The fourth sentence states a legal conclusion and requires no response.

¹ The Service Contract contained a typo, showing it to be No. S20LCA054, when it was actually number 34, which is correctly reflected in the Amendment dated March 5, 2021.

14. One Banana receives the fresh bananas in the United States and delivers them to its customers, typically pursuant to annual contracts.

Respondents lack sufficient information to admit or deny.

15. The bananas are typically shipped in 40-foot-long refrigerated containers.² Pursuant to the terms of the Service Contract, One Banana is allowed 6 days of demurrage free time and 5 days of detention free time. One Banana arranges for trucks to pick up containers at the port within demurrage free time. After the containers are picked up, they are transported to destination warehouses, where they are unloaded, and empty containers are returned to the port to the custody of Hapag Lloyd within detention free time.

Respondents admits the first two sentences. Respondents admit that trucks pick up the loaded containers at the port, transport the containers to destination warehouses for unloading, and return the empty containers to the port. Respondents deny that the pick-up and return always occur within demurrage free time and/or detention free time.

16. In order to pick up a full container that arrived, Hapag Lloyd from time to time required that a trucker drop off an empty container. This is a so-called dual transaction or dual appointment requirement. If the consignee does not have a corresponding full pick up at the terminal it may not drop off the empty. Importantly, Hapag Lloyd does not waive demurrage or detention charges even if it does not make drop off locations available.

Respondents admit the second sentence. Respondents deny the first, third, and fourth sentences.

17. In or about September of 2021, One Banana started receiving information from trucking companies it had engaged to pick up containers from the port that Hapag Lloyd severally limited or even stopped providing return locations for empty containers. In certain instances, OneBanana was informed that trucks had to wait for **weeks** before a location to return empty containers would become available.

Respondents lack sufficient information to admit or deny what One Banana may have been told by trucking companies. Respondents deny that they limited or stopped providing return locations for empty containers.

² Refrigerated containers are typically referred to as reefers.

18. According to certain trucking companies, Hapag Lloyd required them to send an email to Hapag Lloyd in order to obtain a daily report of available empty return locations. Initially, Hapag Lloyd would send an automatic response with available return locations. However, the automatic responder was eventually deactivated, and Hapag Lloyd would provide the response at its discretion, if at all.

Respondents lack sufficient information to admit or deny what One Banana may have been told by trucking companies. Respondents deny that Paragraph 18 accurately describes their means of notifying motor carriers of empty return locations.

19. Furthermore, according to the trucking companies, even in cases when Hapag Lloyd would provide return locations for the empty reefers, it would require the trucking companies to make the appointment on a dual transaction basis only. That means that the truckers would be required to pick up a loaded container at the same time the empty reefer is dropped off. Moreover, in some instances, Hapag Lloyd would inform truckers that the return locations are available when, in fact, truckers were unable to make appointment with the terminal reservation system.

Respondents lack sufficient information to admit or deny what One Banana may have been told by trucking companies. Respondents deny that they require dual transaction appointments. Respondents admit that there may be occasions on which motor carriers are unable to obtain an appointment to return HLAG containers to a particular marine terminal.

20. The foregoing circumstances, which are normal and customary for Hapag Lloyd, and occurring on a continuous basis, resulted in a situation in which trucking companies refused or charged exorbitant prices to pick up Hapag Lloyd containers. As an illustration, in some instances, One Banana had to pay in excess of \$7,000 per container for the drayage of reefers from the port to a local warehouse. In another case, when One Banana reached out to a trucking company to arrange for pickup of Hapag Lloyd containers, the company would only do so if One Banana paid \$12,000 to cover anticipated per diem charges that the trucking company would be charged by Hapag Lloyd due to unavailable empty return locations as follows:

Hapag has no return locations for the empties. We have some empties out for a month.

We are in constant communication with them to return the empties unfortunately Hapag has made it extremely difficult to return containers. Hapag return location message sometimes advises "per diem is waived" but they don't, as they continue to send per diem invoices.

They charge \$400 per day plus an additional \$50 processing fee. So if we keep the container here for 30 days $400 \times 30 = 12,000$

Plus chassis charges \$60 per day and storage charges \$200 per day.

If you like to move forward you will need to pay before the move is made.

Respondents deny that the “foregoing circumstances” are normal and customary for them, and further deny that said “circumstances” occur on a continuous basis. Respondents lack sufficient information to admit or deny what One Banana may or may not have been told by trucking companies. The message purportedly quoted in Paragraph 20 speaks for itself.

21. During the relevant period, One Banana reached out to over 15 trucking companies in an attempt to arrange for the pickup of the reefers. However, almost all of them refused to pick up containers as soon as they learned that the containers were from Hapag Lloyd.

Respondents lack sufficient information to admit or deny.

21. As a result of the Hapag Lloyd's ongoing, customary, and continuous failure to arrange for sufficient locations for the return of empty containers, and despite One Banana's best efforts, on multiple occasions One Banana was unable to pick up loaded reefers during the free time, and Hapag Lloyd imposed demurrage charges on One Banana despite having itself created the situation that prevented One Banana from picking up the containers. Likewise, when One Banana was unable to find truckers to return empties due to the circumstances Hapag Lloyd itself had created, Hapag Lloyd imposed demurrage charges against One Banana.

Denied.

23. Hapag Lloyd unfairly profited from the delays caused by its own refusal to accept empty containers because it then normally, customarily, and continuously charged demurrage for the containers

that arrived and could not be retrieved. Likewise, Hapag Lloyd unfairly charged detention fees. The unjust and unreasonable demurrages and detention charges to date total over \$321,523. Further, the delays Hapag Lloyd caused resulted in damage to the perishable cargo of fresh bananas, which deteriorated and were ultimately rejected by the buyer. To date, costs in connection with dumping, inspections, and transportation of the spoiled fruit, totaled in excess of \$365,947, in addition to the significant cost of the product itself and lost sales, which amounts are still being determined.

Respondents deny the first, second, third and fourth sentences. Respondents lack sufficient information to admit or deny the fifth sentence.

24. At the same time, Hapag Lloyd's profiteering reportedly allowed it to increase its profits in 2021 ten-fold.

Denied.

25. One Banana notified Hapag Lloyd of the situation in the port and requested that it address the issues. However, Hapag Lloyd ignored One Banana's request.

Denied.

A. The Affected Shipments

26. As of the date of this Complaint, about 77 containers over 8 different voyages have been affected. One Banana has incurred in excess of **USD \$687,470.5** in unfair demurrage and detention charges, and costs in connection with dumping, inspection, and transportation of the perished cargo as a result of Hapag Lloyd's actions. These costs do not include the value of the perished cargo itself, which will be provided at a later time.

Denied.

27. After failing to receive any response from Hapag Lloyd with respect to its requests for improvement on the situation, on or about November 1, 2021, One Banana, through counsel, sent Hapag Lloyd a demand for reimbursement of the disputed demurrage and detention charges, as well as for compensation for damages incurred due to the violations of the Shipping Act.

Admitted.

28. All conditions precedent, including demand, to this action have occurred, been satisfied, and\ or have been waived.

Paragraph 28 states a legal conclusion, to which no response is required.

29. One Banana has been forced to retain FisherBroyles LLP to represent it in this action and has agreed to pay the law firm's attorneys' fees. Accordingly, One Banana requests that the Commission award it reasonable attorneys' fees under 46 C.F.R. § 502.254 if it prevails.

Paragraph 29 contains no allegations of fact with respect to Respondents and requires no response.

V. VIOLATIONS OF THE SHIPPING ACT

COUNT I — VIOLATION OF 46 U.S.C. § 41102(c)

29. One Banana realleges each allegation above as if fully set forth herein.

Paragraph 29 makes no new allegations and requires no response. All foregoing answers are hereby incorporated by reference.

30. The foregoing customary, continuous, and ongoing conduct by Hapag Lloyd in connection with its respective receipt, handling, storage, and delivery of the property of One Banana and, upon information and belief, of other shippers, constitutes failures by Hapag Lloyd to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of One Banana and other shippers, in violation of 46 U.S.C. Section 41102(c).

Denied.

31. The Commission has adopted an interpretive rule to establish guidance for determining whether practices with respect to demurrage and detention are unjust and unreasonable. See Docket No. 19-05, 46 CFR § 545.5 (the "Interpretive Rule"). The Interpretive Rules provides that:

(c)Incentive Principle. In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity.

(d) Particular Applications of Incentive Principle. -- (1) Cargo Availability. The Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval.

(2) Empty Container Return. Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.

Respondents admit the first two sentences. The Interpretative Rule speaks for itself.

33. As the Commission explained:

"cargo availability" or "accessibility" refers to the actual ability of a cargo interest or trucker to retrieve its cargo. Cargo is not available, for instance, if a cargo interest or trucker cannot pick it up because it is in a closed area of a terminal, or if the port is closed. Examples of demurrage practices that are expressly linked to container availability, and which the Commission would weigh positively in the reasonableness analysis, include: (a) starting the free time clock upon container availability as opposed to container discharge from a vessel; (b) public notice of terminal yard closures; and (c) stopping a demurrage or free time clock when a container is rendered unavailable, such as upon notice of a yard or terminal closure or when a trucker cannot get an appointment within a reasonable time of it becoming available.

48 CFR Part 545, Docket 19-05, at 8.

Paragraph 33 requires no response, as the Interpretative Rule speaks for itself.

34. The facts asserted in this Complaint establish that Hapag Lloyd's practices have affected freight fluidity such that One Banana is unable to pick up its containers because it, through the trucking companies it engages, is unable to return empty containers. Furthermore, Hapag Lloyd employs unreasonable and unjust practices with respect to demurrage and detention when it imposes these charges and when it severely limits or fails to provide appointments for the return of empty containers while at the same time requiring trucking companies to make dual transaction appointments, which result in One Banana's inability to pick up containers within the free time window.

Denied.

35. In addition, Hapag Lloyd's practices and regulations regarding detention and demurrage do "not serve . . . incentivizing purposes" because the product in question is fresh bananas — a perishable good that loses value with every day it is not picked up. Accordingly, Hapag Lloyd's practices and regulations regarding detention and demurrage are unreasonable.

Denied.

COUNT II — VIOLATION OF 46 U.S.C. § 41104(a)(10)

36. One Banana realleges each allegation above as if fully set forth herein.

Paragraph 36 makes no new allegations and requires no response. All foregoing answers are hereby incorporated by reference.

37. The foregoing conduct by Hapag Lloyd in the course of negotiating its Service Contract with One Banana and providing service to One Banana pursuant to that Service Contract, which is continuous and ongoing, constitutes unreasonable refusal to deal or negotiate with One Banana, in violation of 46 U.S.C. Section 41104(a)(10).

Denied.

VI. CAUSATION

38. The foregoing alleged illegal acts of Respondents have directly and proximately injured One Banana because (1) Hapag Lloyd thereby forced One Banana to pay demurrage charges for delays that Hapag Lloyd itself caused, and (2) Hapag Lloyd thereby caused delays in retrieving containers of perishable product, which caused the fresh bananas to rot and ultimately be rejected by the buyer.

Denied.

VII. COMPLAINANT'S DAMAGES

39. One Banana has been, and continues to be, actually and materially injured by Hapag Lloyd's continuous conduct in violation of the Shipping Act alleged herein.

Denied.

40. Hapag Lloyd's violations alleged herein are causing direct, proximate, and ongoing financial damages to One Banana in an amount already believed to exceed \$773,000, currently accruing, and to be further demonstrated in this proceeding.

Denied.

VIII. AFFIRMATIVE DEFENSES

1. The Commission lacks subject matter jurisdiction.
2. The Commission lacks personal jurisdiction over Respondent Hapag-Lloyd (America) LLC.
3. The Complaint fails to state a claim for which relief may be granted.
4. Any claim for damages to or loss of cargo is limited by the U.S. Carriage of Goods By Sea Act or otherwise applicable treaty/legislation.
5. Respondents' conduct was reasonable in light of the totality of the circumstances.

WHEREFORE, Respondents pray that after due oral hearing to be conducted in Washington, D.C., an order be made dismissing the Order.

Respectfully submitted,

By: 
Wayne R. Rohde
Joshua P. Stein
COZEN O'CONNOR
1200 Nineteenth Street, NW
Suite 300
Washington, DC 20036
(202) 463-2504

Dated: March 8, 2022

VERIFICATION OF RESPONDENT HAPAG-LLOYD AG

Thomas Mansfeld hereby verifies as follows:

1. I am General Counsel of Hapag-Lloyd AG.
2. I am authorized to make this verification on behalf of Hapag-Lloyd AG.
3. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: March 4, 2022



Name: Thomas Mansfeld

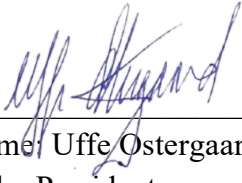
Title: General Counsel

VERIFICATION OF RESPONDENT HAPAG-LLOYD (AMERICA) LLC

Uffe Ostergaard hereby verifies as follows:

1. I am President of Hapag-Lloyd (America) LLC.
2. I am authorized to make this verification on behalf of Hapag-Lloyd (America) LLC.
3. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: March 4, 2022



Name: Uffe Ostergaard
Title: President